

- # UK Family Investment Company (FIC) Implementation Brief

- *Note: With £420,000 incoming from the SPV, the FIC retains ~£41,700 as an operational cash buffer.*

3. Personal Obligations & Taxes (After You Sell)

Once the FIC buys the house, you personally receive £360,000 (minus your solicitor fees).

- **Clearing the Personal Mortgage:** You must immediately clear the £325,000 mortgage.
 - *Obligation:* You will likely incur an **Early Repayment Charge (ERC)** from your UK bank (typically 1% to 5% of the outstanding balance, depending on your fixed-term status). You must factor this into your personal £35,000 equity calculation.
- **Capital Gains Tax (CGT):**
 - *Scenario A (Primary Residence):* If you have lived in this Centenary Quay property as your sole/main home for the entire time you have owned it, **Private Residence Relief (PRR)** applies. You will owe **£0** in CGT.
 - *Scenario B (Investment/Second Home):* If this was already a rental, you will owe CGT (18% or 24% depending on your income tax band) on the gain in value since you bought it.

4. Operational Revenue Stream (Centenary Quay)

The FIC now operates as a BTL landlord. Centenary Quay is a highly sought-after development for young professionals and families.

- **Gross Rental Income:** A 4-bedroom end-of-terrace in this area currently commands **£1,750 to £1,950 per calendar month (pcm)**. We will use £1,850 for calculations.
 - *Annual Gross Revenue:* £22,200.
- **Operational Costs (Deductible B2B Expenses):**
 - **Property Management:** Using a local Southampton agent (e.g., Leaders, Savills) on a fully managed basis typically costs 12% + VAT (approx. 14.4%). *Annual Cost:* ~£3,200.
 - **Service Charges/Ground Rent:** Applicable if the estate has communal upkeep (common in Centenary Quay). *Estimated:* £500/year.
 - **Insurance (Landlord/Building):** £300/year.
 - **Maintenance Provision:** £1,000/year.
- **Net Operating Income (Before SPV Debt):** ~£17,200/year.

5. Obligation to the Kenyan SPV & Tranche-Based Execution

The FIC is obligated to service the Master Loan Agreement (70M KES), which is dynamically structured into sub-facilities based on the SPV's risk tranches (Class A, B, C).

- **The Baseline Debt Servicing:** At the initial 70M KES principal at 3% interest (£1 = 166.6 KES), the baseline cost is roughly £12,600 per year.
- **FIC Cash Flow Check:** Net Operating Income (£17,200) - Max SPV Interest (£12,600) = **+£4,600 Annual Surplus**. The property comfortably pays for the debt while accumulating a cash buffer.
- **Partial Repayment Triggers (The Execution):** When a specific devaluation threshold is reached (e.g., 20% drop triggering Class A Packs):
 - The FIC executes a *partial* repayment to clear **only** that specific tranche.
 - **The Payout Formula:** The FIC pays the SPV the Tranche Principal + Accrued 3% Base Interest + Early Repayment Penalty + FX Sweetener.

- **Debt Reduction:** Once Tranche A is cleared, the remaining total KES principal shrinks. This proportionally lowers the FIC's ongoing 3% interest burden, accelerating cash accumulation for future tranches.
- **UK Corporation Tax:** The FIC only pays Corporation Tax on its *net profit*. Because commercial loan interest and penalty fees are generally deductible business expenses, the FIC's taxable profit is heavily minimized.
- **The Withholding Tax Trap (Crucial Action Item):**
 - When a UK company pays interest to an overseas entity (the Kenyan SPV), HMRC generally requires the UK company to withhold 20% of that interest payment and send it to HMRC as tax.
 - *The Fix:* The UK and Kenya have a **Double Taxation Agreement (DTA)**. Your UK accountant must apply to HMRC for a "Treaty Direction" to reduce this withholding tax rate (usually capped at 15% under the DTA). The FIC deducts this, pays it to HMRC, and the SPV can use the receipt to claim tax credits in Kenya.

6. Execution Summary Checklist

1. Incorporate FIC & Draft Master Loan Agreement (Detailing Partial Settlement Tranches).
2. Execute SPV Capital Wire to FIC Corporate Account (£420,000).
3. Instruct RICS Valuer & Independent Solicitors.
4. FIC Purchases Property (£360k) -> FIC Pays SDLT (£15.8k).
5. Director Clears Personal Mortgage (£325k + ERC) -> Claims PRR for £0 CGT.
6. FIC Appoints Southampton Letting Agent -> Tenant Secured.
7. FIC Services SPV Debt from Rental Income, deducting Withholding Tax as per UK/Kenya DTA.
8. FIC Monitors FX Rates and Executes Partial Settlements (Principal + Sweeteners) as Tranches Trigger.